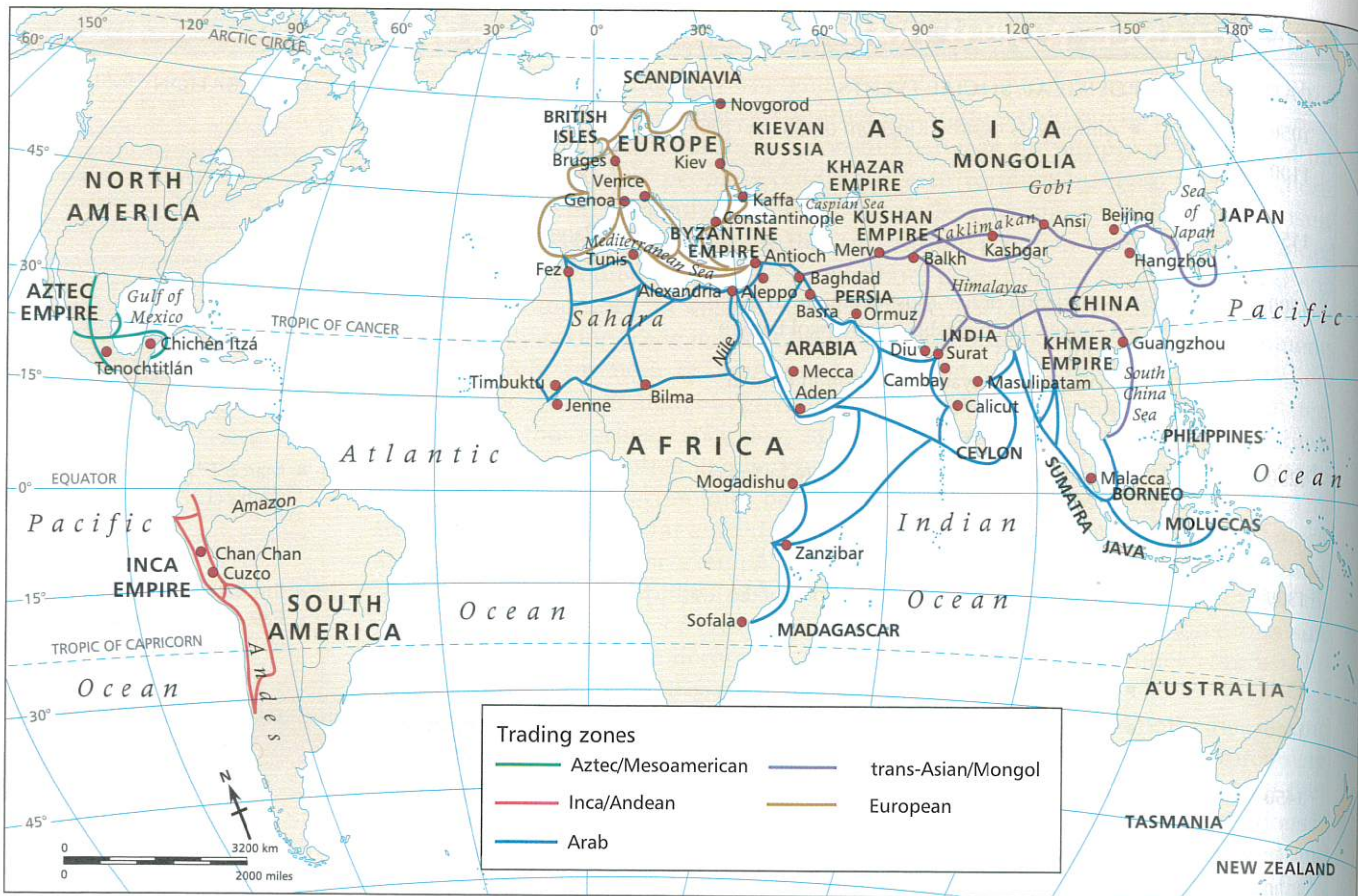


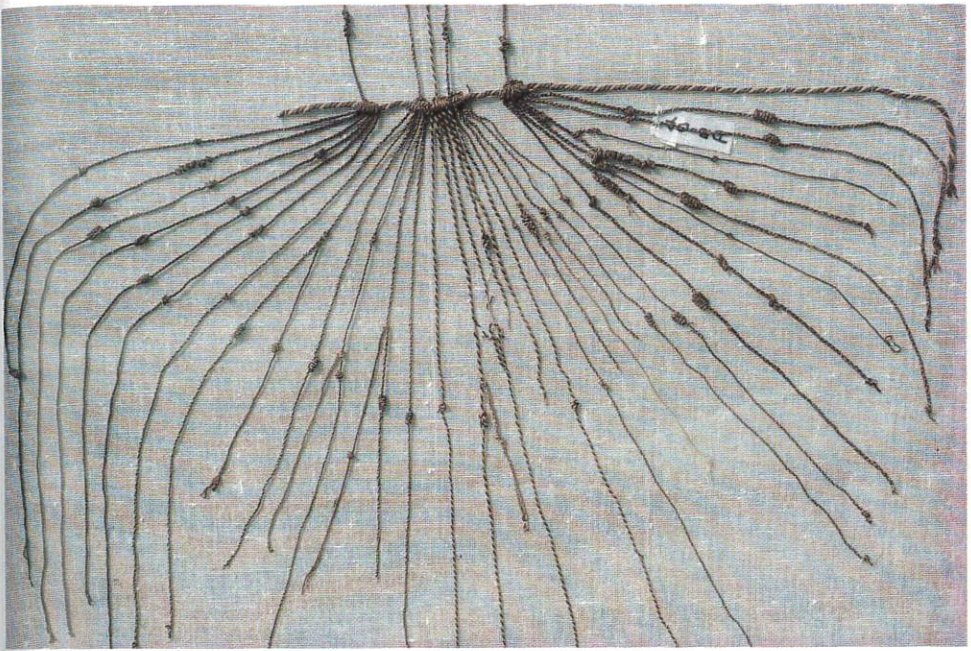
World trade routes. Between 1100 and 1500 a relay system of trade by land and sea connected almost all populous regions of Eurasia, as well as North and East Africa. Long-distance traders carried goods along their own segments of these routes, and then turned them over to traders in the next sector. The western hemisphere was still separate, and had two major trade networks of its own.

Trade in the Americas Before 1500

The western hemisphere spawned two major trade networks. The northern network served primarily the area that is Mexico today, although in those years this region was dominated by several different groups. The southern network, in today's Ecuador, Peru, and northern Chile, ran north–south in two parallel routes, one along the Pacific Coast, the other inland along the spine of the Andes Mountains. East–west routes, linking the coastal settlements with those of the mountains, rose to altitudes of 15,000 feet. In both North and South America goods were carried by pack animals and by humans; the American Indians had not invented the wheel. Boats were used on streams and rivers. Along the South American coast, near the equator, the Incas sailed boats constructed of balsa wood, while the Mayans of the Yucatan paddled canoes through their river systems. There was little traffic between North and South America and virtually none between the eastern and western hemispheres, except for rare voyages, such as that by Leif Eriksson, the Viking explorer who reached Newfoundland about the year 1000.

The Inca Empire

In the Andes Mountains of South America, a significant and long-lasting hub of civilization grew up after 600 C.E. A series of different peoples dominated the regions and by the time the Incas consolidated their empire in the early fifteenth century,



Photograph of a *quipu*. In the Inca empire, which extended from Ecuador to central Chile, trading was facilitated by an extensive road network. This *quipu*, a device of knotted string used to record dates and accounts, would have been a handy aid to the traveling South American businessman in the early 1400s.

these mountain peoples had built an extensive network of trade roads, connecting settlements over hundreds of miles north to south and linking together some 32 million people (see map p. 99).

Inca trade was conducted up and down the mountainsides. With peaks rising up to 20,000 feet, the Andes hosted several different ecological zones, encouraging product differentiation and trade. The valleys below produced sweet potatoes, maize, manioc, squash, beans, chile peppers, peanuts, and cotton. The hills above provided white potatoes, a cereal grain called quinoa, coca, medicines, feathers, and animal skins. The highland people specialized in manufacture and crafts, including gold working.

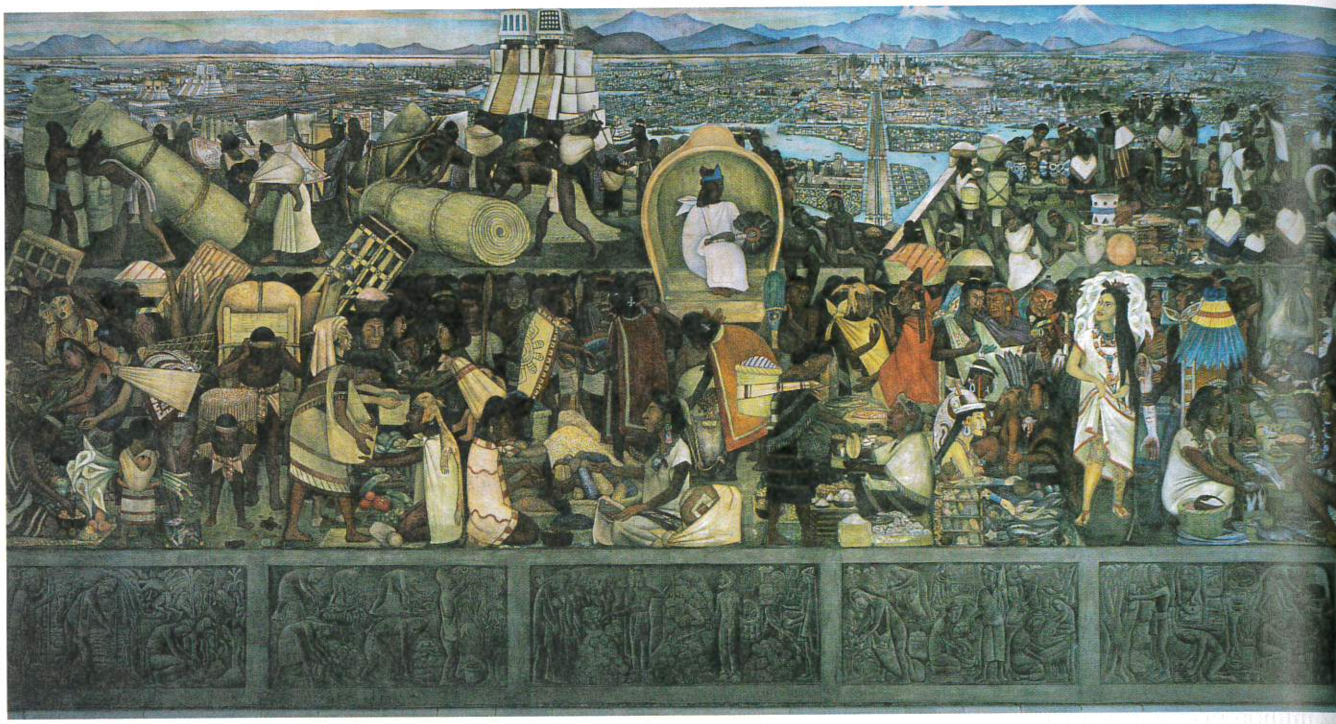
The state controlled this trade between the ecological zones. Under Inca rulers, from the early 1400s until the Spanish conquest in 1535, many of the best of the 15,000 miles of roads through the Andes were open only to government officials.

Central America and Mexico

In the Yucatán peninsula of Mesoamerica the Mayan peoples had flourished from 200 B.C.E. to 900 C.E. Initially Mayan traders operated without interference, amassing a disproportionate share of wealth. Archaeologists suggest that the increasing wealth of the traders created social tensions and that ultimately the traders were brought under the control of the state, creating a new set of unequal relations dominated by kings rather than merchants.

By the time the Spanish arrived in the 1520s, the Maya were in decline, and the Aztecs dominated the valley of Mexico. The Spanish soldiers wrote vivid accounts of the great marketplace of the Aztec capital, Tenochtitlán. As the Spanish leader Hernán Cortés summarizes in one of his letters:

> This city has many squares where trading is done and markets are held continuously. There is also one square twice as big as that of Salamanca, with arcades all around … There are streets of herbalists where all the medicinal herbs and roots found in the land



La Gran Tenochtitlán, **Diego Rivera. 1945.** The great Mexican muralist, Diego Rivera, told the story of the history of his people on the walls of several of Mexico City's most prominent civic buildings with a boldness that attracted casual passersby as well as art connoisseurs. His depiction of the Aztec capital, Tenochtitlán, before the arrival of Europeans, suggests the majesty of the city, but does not overlook the harshness of the life of many of its inhabitants. (Palacio Nacional, Mexico City)

are sold. There are shops like apothecaries', where they sell ready-made medicines as well as liquid ointments and plasters. There are shops like barbers', where they have their hair washed and shaved, and shops where they sell food and drink. (*The Second Letter*, pp. 103–04)

The market met every fifth day, with perhaps 40,000 to 50,000 merchants swarming in, rowing their canoes across the lake to the island on which Tenochtitlán was built. In many ways, the market was like the great fairs of medieval Europe, drawing merchants from distant corners of the kingdom and beyond.

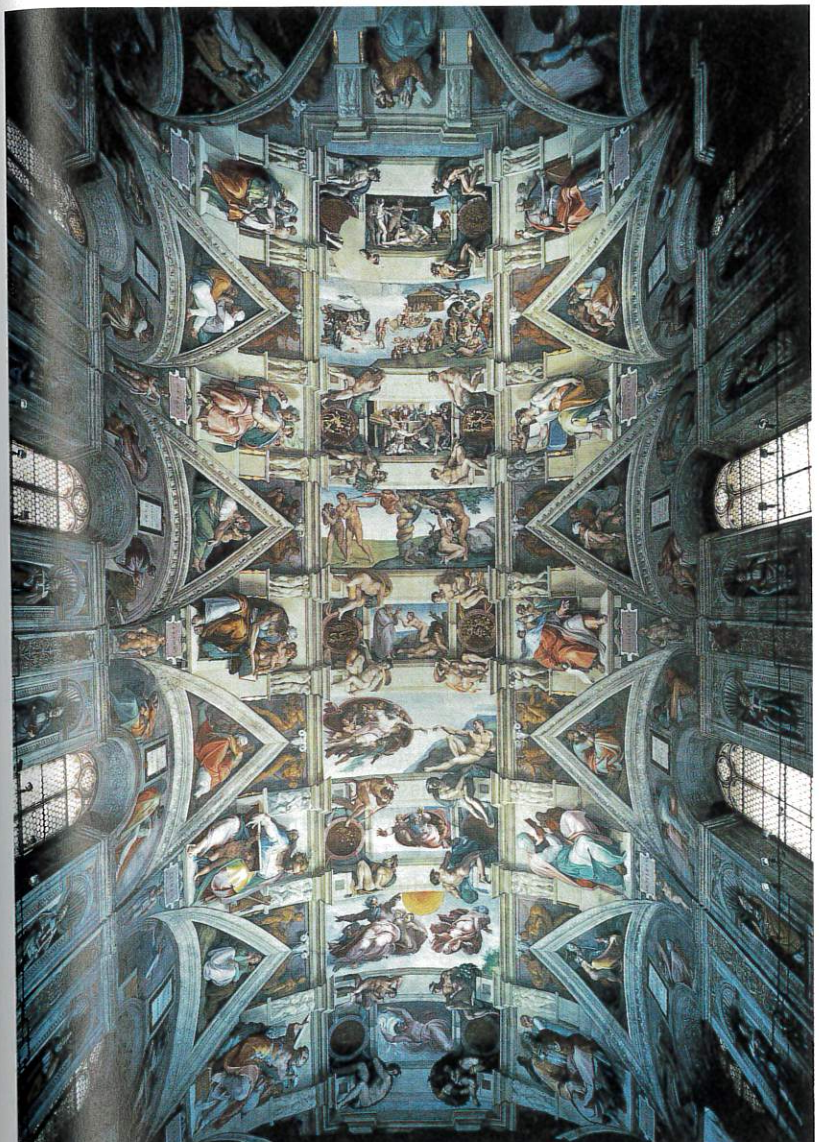
But how independent were these Tenochtitlán merchants? The Spanish described the city's market as being under tight government control. In addition to officers who kept the peace, collected taxes, and checked the accuracy of weights and measures, a court of 12 judges sat to decide cases immediately.

A guild of traders, called *pochteca*, carried on long-distance trade, which expanded steadily through the fifteenth century. They led trade expeditions for hundreds of miles, exchanging city-crafted obsidian knives, fur blankets, clothes, herbs, and dyes for such raw materials as jade, seashells, jaguar skins, feathers from forest birds, and, in the greatest volume, cotton from the Gulf coast. The traders gathered both goods and military intelligence for the ruling Aztec families. Royal troops protected them and sometimes used attacks on traveling *pochteca* as a justification for punitive reprisals and the confiscation of land. The *pochteca* lived in their own wards in the towns, had their own magistrates, and supervised the markets on their own. They were to marry only within the guild and, though they remained commoners, they could send their sons to temple schools. Their main god, Yiacatecutli, resembles the Toltec god Quetzalcoatl, and this, too, suggests that they were to some degree foreigners living in a trade diaspora, with a high degree of independence from the state and temple.

The civilizational hubs in Mexico and in the Andes functioned independently of one another and both flourished, of course, prior to Columbus, and almost entirely isolated from the rest of the world. When Europeans arrived in the sixteenth century brandishing new weapons, commanding new military organizations, and transmitting new diseases, the Americans were unprepared for the challenges.

Developments in Technology

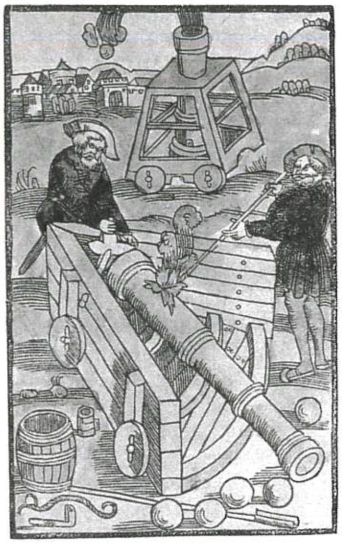
Creativity flourished in the practical arts as well as the fine arts and contributed substantially to the rise of merchant power. Local techniques were enhanced by innovations encountered in the course of trade, especially with the Arab world. Improvements in sailing technology included a new design in the ships themselves. In the thirteenth century the caravel of the Mediterranean, with its lateen sails, used mostly by Arab sailors, was blended with the straight sternpost and stern rudder of northern Europe. The caravel could also be rerigged with a square sail for greater speed in a tail wind. The astrolabe, again an Arab invention, helped sailors determine their longitude at sea. The rediscovery in the early fifteenth century of Ptolemy's *Geography*, written in the second



Sistine Chapel ceiling (post restoration), Michelangelo Buonarroti, 1508–12. Fresco. Renaissance humanism praised the ability of human beings to be creative and original, yet it continued to be anchored in religious imagery. Pope Sixtus IV commissioned Michelangelo to use his imagination in painting the Sistine Chapel ceiling in the Vatican, Rome, with Biblical scenes. (Vatican Museums and Galleries, Vatican City)

century C.E. and preserved in the Arab world, helped to spark interest in proper mapping. (An error in longitude in Ptolemy's map led Columbus to underestimate the circumference of the globe by about one-third. This error emboldened him to set out across the Atlantic and, later, to believe mistakenly that he had reached East Asia.)

Cannons, especially when mounted on ships, gave European merchants firepower not available to others. Although the Chinese had invented gunpowder centuries before, the Europeans put it to use in warfare in the fourteenth century and became the masters of gunmaking. By the early 1400s they were firing cannonballs. The Ottoman Turks employed Western European Christians to build and operate the cannons they used in 1453 to besiege and conquer Constantinople. The Turkish rulers of Persia also employed European gunners and gun manufacturers, and copied their works. By the late 1400s European warring powers were energetically competing in an "arms race" to develop the most powerful and effective cannons and guns. Leonardo and others worked on the mathematics of the projectiles. When Portuguese ships began to sail into the waters of the Indian Ocean after 1498,



The cannon. From the 1450s, innovations in weapons changed the nature of warfare. The most dramatic changes affected the cannon, as shown here in *Four Books of Knighthood*, 1528.

claiming the right to regulate commerce, their guns and cannons sank all opposition. Some historians have called this era the Age of Gunpowder Empires.

The Chinese had also invented the principle of movable type and the printing press, but, again, the Europeans surpassed them in implementation. Movable type was better suited to Europe's alphabetic languages than to Chinese ideographs. By 1455, in Mainz, Germany, Johannes Gutenberg (*c.* 1390–1486) had printed the first major book set in movable type, the Bible. By the end of the century at least 10 million individual books in some 30,000 different editions had been produced and distributed.

The Chinese also created clocks centuries before the Europeans, as early as the eleventh century, although they were apparently turned by water-wheels and regulated by an elaborate escapement mechanism. European cities recognized the need to announce the passage of time, but at first did it simply by ringing bells in public, imprecisely. Around 1300, Europeans invented their first mechanical clocks, about the same time as they invented cannons and spectacles. No one knows exactly who did it or where. A church in Milan installed a clock made of iron in 1309. The Milanese were also the first to erect a public clock to strike the hours, in 1335. It had no hands, only a bell that rang once for one o'clock, twice for two o'clock, and so on. Perhaps the inspiration for the new invention came from China, but in any case, as historian Alfred Crosby points out in his study of the importance of quantification for the economic development of urban Europe, "Hours were of central significance to city dwellers, whom buying and selling had already initiated into the vogue of quantification."

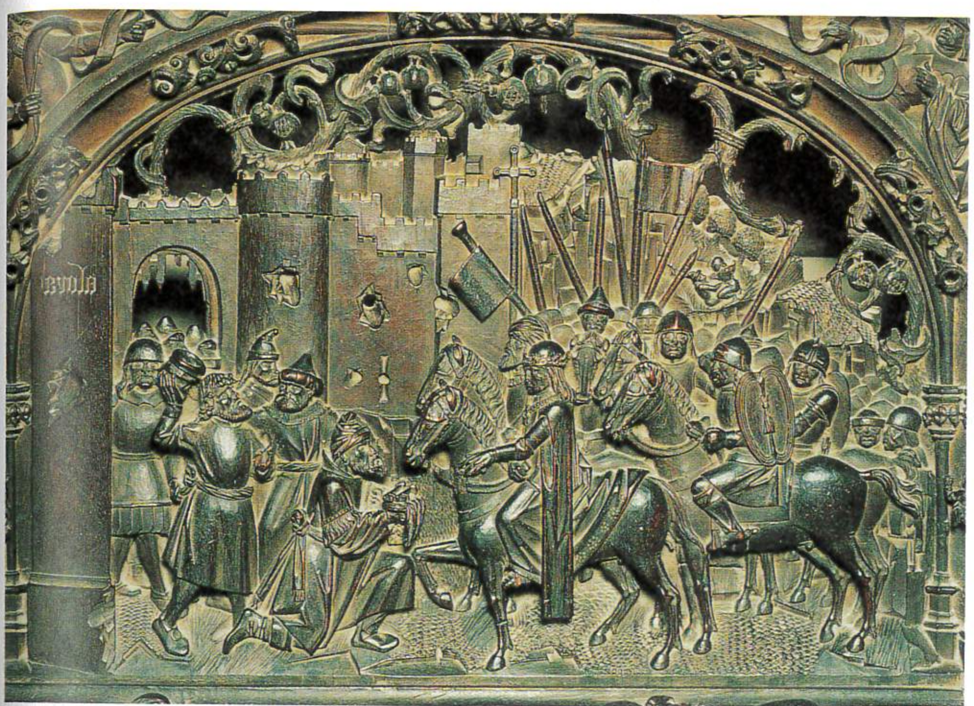
In fourteenth-century Italy, two centuries after the decimal system had been absorbed from India via the Arab world, businesspeople began to develop double-entry bookkeeping. This facilitated the accurate accounting of transactions and the efficient tracking of business profits and losses. In 1494 Luca Pacioli (*c.* 1445–*c.* 1514), a Franciscan friar and mathematician, published the method in systematic form.

By the end of the fifteenth century, some people in Western Europe were ready for new adventures. The Renaissance brought new energy not only through its humanistic philosophy and art, but also through its technological inventions. Newly emerging political rulers and urban businessmen in Western Europe were also inspired. One of their more practical goals was very specific: to gain direct access to the wealth of the Indies and China. They did that. In the process they also discovered a new world.

A New World

In the centuries after the demise of the Roman Empire, the Mediterranean Sea and its coastline had gradually devolved into three cultural and political spheres: Muslim, Byzantine, and Roman Catholic. By about 950, Muslims had established their dominion by land along the eastern and southern coasts of the Mediterranean and held parts of southern Italy as well as major islands in the Mediterranean: Cyprus, Crete, and Sicily. The southern and southeastern Mediterranean had become a "Muslim lake." Even so, the Byzantine Empire continued to control the northeastern shores of the Mediterranean, while various Frankish and Germanic Christian powers held the north-central coast. (See map p. 360.)

These divisions had three results. First, the Mediterranean became a war zone. Warfare between the Christians of southern Europe and the Muslims of the Middle East and North Africa persisted from the eighth century until 1571, when the naval Battle of Lepanto, in Greek waters, fixed generally accepted zones of control between



The Conquest of Granada on January 2, 1492, **Rodrigo Aleman, Toledo Cathedral, late fifteenth century.** The conquest of Granada by the Catholic King Ferdinand II and Queen Isabella I of Spain marked the final victory of the *reconquista*, the Christian recovery of all of Spain from Muslim rule. Here the Moorish king Boabdil is handing over the keys to the town.

them. Second, trade stability oscillated in response to Europe's internal economy and warfare in the Mediterranean. Third, and most important to our story here, the European merchants felt hemmed in. The valuable merchandise and profitable trade coming from the Indian Ocean basin—the spices of India and Indonesia; the silk and porcelain of China; and the gold and ivory and slaves of East Africa—were controlled by Middle Eastern Muslim traders.

This last, the eastern Mediterranean trade blockage, is often seen as a religious confrontation, but in fact trade opportunities often trumped religious rivalries. The crusades, beginning in 1096, which brought Christians and Muslims into armed conflict, simultaneously brought new opportunities for commerce across the Mediterranean to Middle Eastern ports and increased demand for the merchandise that arrived there from Asia. Although on several occasions popes forbade Catholics to trade with Muslims, these prohibitions were generally disregarded. Religious and ethnic differences may have compounded tensions, but the main contest was the competition for profits among the very diverse groups of traders.

European merchants and princes began to seek alternative routes to the lucrative products of the Indian Ocean. This search took on special intensity in Western Europe, which was geographically farther from the Middle East and closer to the Atlantic. Beginning in 1277, a maritime route between Italy and Spain in the Mediterranean and England and Flanders in northwestern Europe brought regular trade to Europe's north Atlantic coast. By the early fifteenth century, European trade generally was picking up, as the continent recovered from the devastation of the Black Death. Increasingly prosperous, and bold, Western Europeans were prepared to attempt two new routes to Asia: one south around the coast of Africa and then east to India; the other, west across the Atlantic.

Most of the dynamism of Western European trade through the fifteenth century emanated from the relatively secular city-states of Flanders and Italy, but in the Iberian peninsula Portugal and Spain created a powerful new merger of the missionary desire to spread Catholicism with the economic desire for wealth. The

Portuguese crown dispatched sailing expeditions along the African coast that ultimately reached the Cape of Good Hope, turned north into the Indian Ocean and onward to India, and were poised to continue on to China. The newly unified government of Spain commissioned Christopher Columbus to sail westward in search of a new route to the Indies. Instead he discovered a "New World."

The Early Explorers, 800–1000

There had been some excursions onto the waters of the Atlantic Ocean before Christopher Columbus made his famous voyage in 1492. From the eighth until the twelfth century, the European North Atlantic was primarily the province of marauding raiders from the north. These Vikings, the ancestors of today's Norwegians, Swedes, and Danes, were colonizers, fishermen, and traders. One group from Norway began to settle Iceland around 870 and Greenland about 982. Under Leif Eriksson they reached Newfoundland in North America about 1000 and established a settlement there as well, but it did not endure. Danes and Norwegians plundered along the entire Atlantic coast of Europe. In 859 they sailed through the Strait of Gibraltar and attacked ports along the Mediterranean. Arabs from North Africa and Spain were launching similar attacks in the Mediterranean at about the same time.

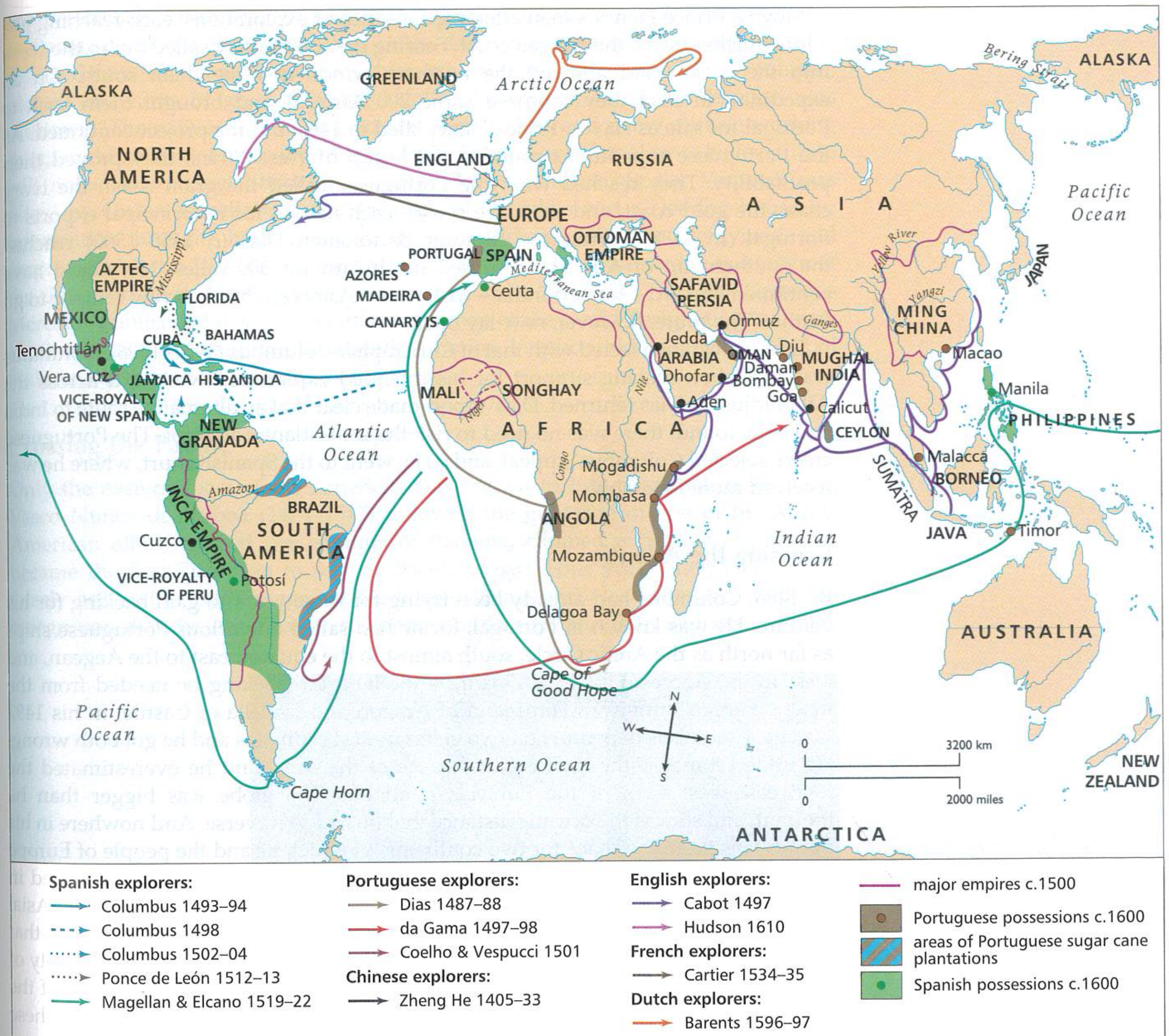
These Vikings were also traders and colonizers who often fostered urban development in the places they conquered. (See map p. 425.) They founded the town of Dublin, in Ireland, in 841, and they conquered much of northern England, establishing the kingdom of York in the 870s. Vikings also conquered the French territory of Normandy in the late eighth century, from where in 1066 their leader, William of Normandy (William the Conqueror), conquered England. The Normans, as these "Northmen" came to be known, also founded a kingdom in southern Italy and Sicily and established a principality in Antioch.

The Swedes turned eastward across the Baltic Sea and founded trading cities along the river systems of Russia, establishing their capital first at Novgorod in the early ninth century and in Kiev in 882. They proceeded all the way south to the Black Sea, where they traded with the Byzantine Empire. Swedish settlements became catalysts for the formation of the political and economic organization of the Slavic people in whose midst they were established. Kiev became the capital of the first Russian state; its people were called the "Rus." By about 1000 the Vikings became more peaceful, and their raids ceased as their home regions in Scandinavia developed into organized states and accepted Christianity. They lost interest, as well, in further exploration westward across the ocean.

Earlier voyages across the North Atlantic other than those of the Vikings are not recorded historically, and are unlikely to have occurred. There is no known crossing of the South Atlantic. Africans carried on only limited coastal shipping, and Europeans were leery of the hazards of the West African coast, especially south of Cape Bojador. In addition, they recognized that the prevailing winds on the African coast blew from north to south, and they feared that, while they might be able to proceed to the south, they might not be able to return north.

Down Africa's Atlantic Coast

Portugal was particularly well situated geographically to explore the Atlantic coast of Africa as the opening step in finding an alternative route to India, despite the fears of the unknown. In 1415 Portugal captured Ceuta on the Moroccan coast of North Africa, one of the major points of the trans-Saharan trade in gold and slaves and under the control of Muslims. Then, to get closer to the sources of supply, Portuguese



World exploration, 1450–1600. Spanish and Portuguese explorers and traders had established settlements in South America and the Caribbean by 1600, and commercial depots on the coasts of Africa, India, the Pacific islands, China, and Japan—at a time when English, Dutch, and French explorations of North America had just begun.

ships, under the direction of Prince Henry (1394–1460), later called the Navigator, sailed down the coast of West Africa.

Henry had several motivations, only one of which was to defeat Muslim power over African trade routes. (He was inspired by legends of a Christian king, Prester John, sometimes said to rule in Mesopotamia, sometimes in Africa, who he thought would be an ally in his crusade.) Henry was also simply curious about the possibilities of oceanic exploration, and he believed it might be possible to reach India by sailing around Africa, although no one in Europe had any idea of the size and shape of that continent. Henry established a center for the study of navigation and shipbuilding at the southwestern tip of Portugal. His staff of experts tested existing navigational tools, such as the astrolabe and the compass, and created new geographical and mathematical tables.

Slowly, Prince Henry's men attempted a series of explorations, each reaching just a little further down the African coast. Fearing the shoals, they sailed out to the west, into the ocean, and allowed the northern winds to blow them south. On an expedition in 1444 they captured some 200 Africans and brought them back to Portugal for sale as slaves. Prince Henry died in 1460, but the project continued. As the Portuguese expeditions rounded the hump of West Africa, they proved their profitability. They reached what the Portuguese called the grain coast, the ivory coast, the gold coast, and the slave coast—each named for its principal exports to Portugal. In 1488, Portuguese explorer Bartolomeu Dias (*c.* 1450–1500) reached the southern tip of Africa and turned northward for 300 miles. He would have continued onward—toward India—with his two caravels, but his crew refused to go further. The route, however, now lay open.

Dias' career intersected with that of Christopher Columbus (1451–1506). Columbus was in Lisbon seeking support for his intended exploration westward across the Atlantic just as Dias returned. Dias' report made clear that an alternative route to India had been found; there was no need to risk the transatlantic attempt. The Portuguese crown rejected Columbus' appeal, and so he went to the Spanish court, where he was received more favorably.

Crossing the Atlantic

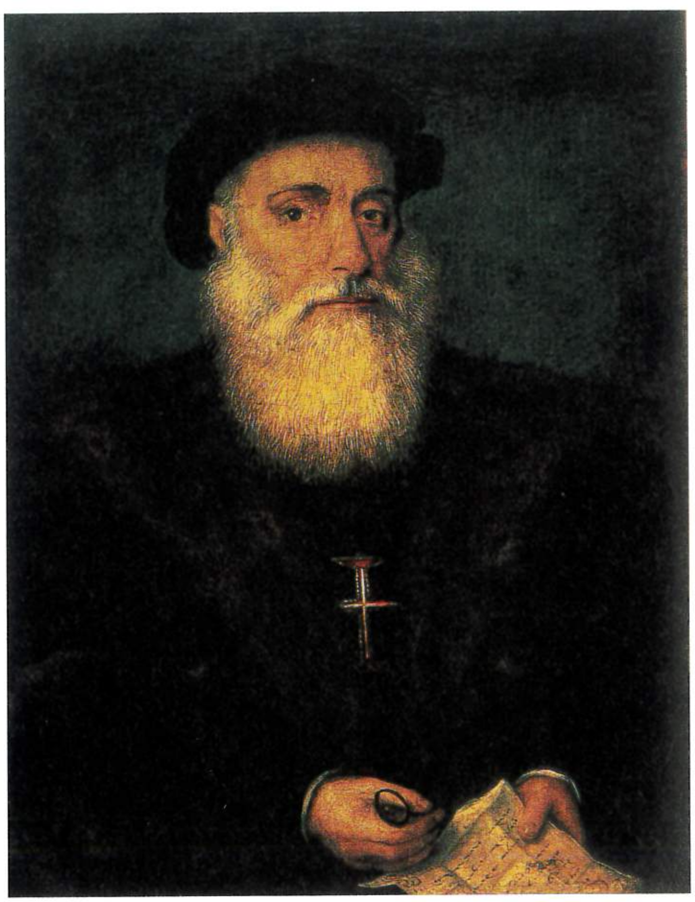
By 1488, Columbus had already been trying for three years to gain backing for his venture. He was known in Portugal, for he had sailed on various Portuguese ships as far north as the Arctic Circle, south almost to the equator, east to the Aegean, and west to the Azores. Finally, in Spain he received the backing he needed from the newly merged thrones of Ferdinand of Aragon and Isabella of Castile. In his 1492 voyage, Columbus depended on two geographical estimates and he got both wrong. He underestimated the total circumference of the earth and he overestimated the total east–west span of the Eurasian continent. The globe was bigger than he thought, and so was the oceanic distance that he had to traverse. And nowhere in his figures was there the space for two continents of which he and the people of Europe knew nothing, despite Leif Eriksson's earlier voyages. When Columbus arrived in the Bahamas, he thought he had reached islands off the eastern coast of Asia. Although he found only a little gold, he believed—and promised his patrons—that an abundance of it yet awaited him. He promised also a virtually limitless supply of cotton, spices and aromatics, timber, and slaves. He characterized the people of the lands he had come upon as ready for conversion to Christianity. He reported all these observations in a letter addressed to Ferdinand and Isabella (see box p. 446).

Six months later Columbus embarked on a much larger expedition with 17 ships, 1,200 men (including six priests to carry on the work of conversion), and enough supplies to establish a permanent settlement. The expedition, however, yielded no serious commercial gains and it took Columbus two years to gain support for a third expedition, in 1498, with only six ships. For the first time, he landed on the continental landmass, in what is today Venezuela. Even at the end of his life, after yet another, fourth, voyage that brought him to Central America, Columbus recognized neither the enormity of his mistake nor the enormity of his discovery. He never realized that he had not found China, Japan, India, or islands off the coast of Asia. Nor did he realize that he had discovered a "New World."

Amerigo Vespucci (1454–1512) of Florence was the first person to recognize Columbus' error and his success. In 1499, sailing with a Spanish fleet after Columbus' third expedition, Vespucci traveled some 1,200 miles along the coast of South America. He recognized clearly that this was a continental landmass, but he did not yet realize which one. In a second voyage, 1501–02, this one under the flag of Portugal, he traveled some 2,400 miles down the coast of South America. He reported carefully on all that he saw: humans and their customs and tools, animals, plants, and hints of great treasures. Unlike Columbus, however, Vespucci was cautious: "The natives told us of gold and other metals and many miracle-working drugs, but I am one of those followers of Saint Thomas, who are slow to believe. Time will reveal everything" (Boorstin, p. 250). On his return to Spain, Vespucci was asked by Queen Isabella to establish a school for pilots and a clearing house for information brought back from the New World. In 1507 the clergyman and mapmaker Martin Waldseemüller published a new map of the world as known at the time, and on it he named the new western areas "America." In 1538, Gerardus Mercator published his large and influential map of the world designating two new continents as North America and South America. Vespucci himself died in 1512 of malaria, contracted on his voyages.

Crossing the Pacific

Only the eastern coast of the Americas was known to Europeans when Spaniard Vasco Nuñez de Balboa (1474–1517) followed the guidance of one of his Native American allies, crossed the Isthmus of Panama, climbed a peak, and, in 1513, became the first European to see the Pacific Ocean. Four years later, Balboa was falsely accused of treason against the king of Spain and was beheaded. With the recognition that the Americas were continental in size, and that another ocean lay



Vasco da Gama, **Portuguese School, c. 1524.** Gama's 1497–99 expedition on behalf of the Portuguese crown completed the sea link from Europe around Africa to India. On his next voyage, 1502–03, he established the policy of using military force to create Portuguese power in the Indian Ocean.

SOURCE

The Journal of Columbus' First Voyage to the Americas

Columbus kept a day-by-day journal of his first voyage. The original has been lost, but fortunately the priest Bartolomé de Las Casas (1474–1566) prepared an abstract, which he used in writing his own *Historia de las Indias*. Columbus' leading biographer in English, Samuel Eliot Morison, calls the abstract "The most important document in the entire history of American discovery." This account of what Columbus saw and how he related to it is written sometimes in the first person of Columbus, sometimes in the third person, as the voice of Las Casas. Note especially the overwhelming importance given to religion:

Prologue: Your Highnesses, as Catholic Christians and Princes devoted to the Holy Christian Faith and the propagators thereof, and enemies of the sect of Mahomet and of all idolatries and heresies, resolved to send me, Christopher Columbus, to the said regions of India, to see the said princes and peoples and lands and the disposition of them and of all, and the manner which may be undertaken their conversion to our Holy Faith, and ordained that I should not go by (the usual way) to the Orient, but by the route of the Occident, by which no one to this day knows for sure that anyone has gone …

12 October 1492: At two hours after midnight appeared the land, at a distance of two leagues … Presently they saw naked people, and the Admiral went ashore in his barge, and [others] followed. The Admiral broke out the royal standard, and the captains [displayed] two banners of the Green Cross, which the Admiral flew on all the vessels as a signal, with an F and a Y, one at one arm of the cross and the other on the other, and over each letter his or her crown … and said that they should bear faith and witness how he before them all was taking, as in fact he took, possession of the said island for the King and Queen …

15 October: It was my wish to bypass no island without taking possession, although having taken one you can claim all …

22 October: All this night and today I was here, waiting to see if the king here or other people would bring gold or anything substantial, and many of this people came, like the others of the other islands, as naked and as painted, some of them white, others red, others black, and [painted] in many ways … any little thing I gave them, and also our coming, they considered a great wonder, and believed that we had come from the sky …

1 November: It is certain that this is the mainland and that I am before Zayto [Zaytun] and Quisay [Hangzhou] [two great port cities of China], 100 leagues more or less distant the one from the other …

6 November: If they had access to devout religious persons knowing the language, they would all turn Christian, and so I hope in Our Lord that Your Highnesses will do something about it with much care … And after your days (for we are all mortal) … you will be well received before the eternal Creator …

12 November: Yesterday came aboard the ship a dugout with six young men, and five came on board; these I ordered to be detained and I am bringing them. Afterwards I sent to a house which is on the western bank of the river, and they brought seven women, small and large, and three boys. I did this because the [Indian] men would behave better in Spain with women of their country than without them …

27 November: Your Highnesses ought not to consent that any foreigner does business or sets foot here, except Christian Catholics, since this was the end and the beginning of the enterprise …

22 December: The Indians were so free, and the Spaniards so covetous and overreaching, that it was not enough that for a lace-tip or a little piece of glass and crockery or other things of no value, the Indians should give them what they asked; even without giving anything they [the Spaniards] wanted to get and take all, which the Admiral had always forbidden …

23 December: In that hour … more than 1000 persons had come to the ship, and that all brought something that they owned, and that before they come within half a crossbow shot of the ship, they stand up in their canoes with what they brought in their hands, saying "Take! Take!" (Morrison, pp. 41–179)

between them and Asia, Charles V of Spain commissioned Ferdinand Magellan (*c.* 1480–1521) to sail west, find a passage around the southern tip of South America, and proceed across the Pacific—no matter how long the voyage—and reach the Spice Islands of East Asia. Magellan set out in 1519 with five ships and about 250 sailors from several different European countries. The voyage became the first circumnavigation of the globe, yielding the first accurate picture of the full magnitude of the planet and completing the picture of most of its main contours. It took just 12 days less than three years. Only 18 men completed the trip. Magellan himself was killed in a skirmish with Mactan tribal warriors on the Philippine island of Cebu. Europeans became aware of Australia and its peoples in the 1500s, but did not map it carefully until the late 1700s.

Legacies to the Future: What Difference Do They Make?

Voyages of exploration, trade, conquest, and settlement evoke a sense of wonder at the skill and daring of the captains and sailors who embarked for the unknown with so few and such small ships and such limited equipment, and the foresight of the governments and businesspeople who organized and financed them. Each participant was called by a different set of values: the desire to chart the unknown; the pressure to find a new home; the quest for profit; the urge to proselytize; the lust for conquest; the competition for national superiority. Often, many of these motives were mixed together. The legacy of these people is the achievement of a geographically known and integrated globe. It is not, however, a single, simple legacy, but a variegated set of mixed legacies that includes competition, greed, self-righteousness, and violence. Few participants prepared for oceanic voyages with the greater good of the entire world at heart. Most, instead, sought benefits for themselves, their region or nation, or their religious group. They looked out on a huge and diverse world from relatively narrow and often self-interested perspectives.

By 1500 European traders had established a permanent connection between the eastern and western hemispheres for the first time, following Columbus' voyages across the Atlantic and Magellan's circumnavigation of the world. Inspired by the early explorations of Henry the Navigator around the west coast of Africa, Portuguese sailors rounded the Cape of Good Hope and opened new routes into the Indian Ocean. These explorations followed upon centuries of Western European economic expansion, national consolidation, and intellectual renaissance. Explorers were motivated by their mixed desire for knowledge, profit, national aggrandizement, and Christian proselytizing.

Asking Questions

- Of the groups—Polynesians, Malays, Indians, Chinese, Arabs, and Europeans—discussed in this chapter and in Chapter Twelve, why do you think that the Europeans were the first to circumnavigate the globe?
- How did the Portuguese displace the Arabs as the predominant maritime power in the Indian Ocean?
- Why do you think that Columbus could not, or did not, recognize that he had not reached East Asia? (There is no single correct answer to this question.)
- What were the demographic, economic, and social effects of the Black Death in the fourteenth century?
- What was the European Renaissance? To what did degree did it develop from contacts with non-European peoples?

CHAPTER FOURTEEN

The Unification of World Trade

New Philosophies for New Trade Patterns
1500–1776

By 1500, ocean voyages of exploration and trade had bridged the eastern and western hemispheres, initiating a new phase of world history. Most regions of the world began to enter into a single system of trade and exchange.

In Western Europe, these overseas trade opportunities were restructuring public life, increasing the power of private businessmen. In other parts of the world, however, government continued to be a more formidable force, more important than private business. The largest city in Europe, for example, was not an Atlantic Ocean port but Constantinople (modern-day Istanbul), the capital of the Ottoman Empire. It, too, was an important commercial city, serving the eastern Mediterranean and the Middle East, but it owed its size—700,000 residents—and importance more to its political role than to its trade (which was, in any case, falling into the hands of foreigners). In India, China, and Japan government authorities generally dominated business interests. There were exceptions, but government control was the usual pattern.

Each major region of the world also had a very different experience in confronting the new international world system of trade being fashioned by the Europeans. The Americas, for example, succumbed almost immediately. The Chinese, on the other hand, remained somewhat independent of the system until the mid-nineteenth century, and in some ways China at first actually dominated the system. Even though the Chinese and Indians were not the shippers carrying the goods overseas, it was their products and their economies that evoked a very large proportion of international trade. Chinese products—especially tea, silk, and porcelain—were the objects of a great deal of the trade. The Europeans sailed in order to get them, as well as the spices and textiles of India and Indonesia; and to get gold and, later, some ten million slaves from Africa. Almost half the silver of the New World mines went to China to pay for exports to Europe. Asians and Africans may not have sailed as widely and aggressively as Europeans did after 1500, but it was the goods of Asia and Africa that motivated the European voyages.

KEY TOPICS

- The Birth of Capitalism
- The Empires of Spain and Portugal
- Trade and Religion in Western Europe
- The Nation-state
- Diverse Cultures, Diverse Trade Systems
- The Influence of World Trade: What Difference Does It Make?

Persian forces under Imam Quli Khan fighting to capture the port of Hormuz from the Portuguese. Miniature, seventeenth century. Since 1507, the Portuguese had controlled the port of Hormuz and, with it, the Persian Gulf, effectively blocking other countries from trading with Persia and the Mesopotamian region by sea. In 1622, British and Persian forces combined to remove the Portuguese garrison from Hormuz, opening trade and shifting the balance of power.

The Birth of Capitalism

In Western Europe, a system of trade and exchange emerged, dedicated to the pursuit of private economic profit through the private ownership of wealth and the means of its production. The system took root in the textile workshops of Italy in the south and Flanders in the north, and soon extended to banking and international trade. Through the power of their wealth, that is, their capital, and of their collective organization, the owners of these workshops, the bankers, and the traders began to develop the economic system that we now call **capitalism**.

Capitalism claimed to allow individuals to exchange their products and labor in free, unregulated markets. It fought off the restrictive rules of church and government. It argued instead that in a free-market exchange the prices of goods and of labor would result from the balance between supply and demand. These market prices would serve as a message to producers and consumers, alerting them as to what the market did and did not want at the moment. The lure of the market would encourage people to risk investing their accumulated wealth in economic activities that might earn profits (although they might also suffer losses).

Despite these free-market claims, and their desire to be free of regulation, capitalists frequently persuaded governments to support and assist them in their money-making projects. In exchange, capitalists lent their financial support to government. In cities such as Venice, in the thirteenth century, capitalists gained control of the economy, as the city grew to a population of nearly 200,000. By the 1300s, through banking and trade, they gained control of the government of the city of Florence, with its 100,000 residents. Capitalist philosophies began to overcome more restrictive economic philosophies.

Major Western European governments had been following principles of **mercantilism**, the belief that government should regulate trade—especially by restricting the outflow of gold and silver—for the greater strength of the state. Slowly these governments were persuaded that allowing businessmen more freedom of trade would in fact benefit the state even more by generating more taxable wealth. Capitalists and governments worked together to achieve the goals of both: protection and encouragement for the businessmen, taxes for the state.

Western European businessmen led in sponsoring new international trade initiatives that emphasized private profit and national aggrandizement. As a result, the trading centers of northwestern Europe grew ever larger. By 1700, London had a population of 550,000; Paris, 530,000; Lisbon, 188,000; and Amsterdam, 172,000. Each of these cities was both a national capital and a major trading center. Economic and political interests reinforced one another.

KEY TERMS

capitalism An economic system characterized by private or corporate ownership of the means of production and by private control over decisions on prices, production, and distribution of goods in a free, competitive market of supply and demand.

mercantilism An economic policy pursued by many European nations between the sixteenth and eighteenth centuries. It aimed to strengthen an individual nation's economic power at the expense of its rivals by stockpiling reserves of bullion, which involved government regulations of trade.

conquistadores The Spanish soldiers who invaded and conquered the kingdoms of the New World, especially in Mexico and Peru.

The Empires of Spain and Portugal

The first European nations to dominate the new overseas trade and colonization, however, were Spain and Portugal, countries in which business communities were relatively weak. Here political rulers made the principal economic decisions. Both countries faced directly on the Atlantic Ocean. Portugal's rulers saw the Atlantic as their front door. Spain's rulers, just consolidating their country in 1492, saw it as a route to riches, power, and proselytizing.

Spain's New World Conquests

The four voyages of Christopher Columbus between 1492 and 1504 revealed to the Spanish crown some of the opportunities for agricultural development, religious conversion, and exploitation of resources in gold and silver to be found in the Americas. Spanish settlers began to colonize the islands of the Caribbean and the north coast of South America. In response to tales of great riches, Spanish *conquistadores* marched inland to conquer what they could. In 1519, Hernán Cortés began his expedition from Veracruz with 600 Spaniards, a few guns, and 16 horses.

AT A GLANCE: THE INTERCONNECTING WORLD

DATE	EUROPE	THE AMERICAS	ASIA AND AFRICA
1500	• Communero revolt in Spain (1520–21) • Luther excommunicated (1521)	• Four voyages of Christopher Columbus (1492–1504) • Cortés conquers Tenochtitlán (1521)	• Portuguese establish trading posts in East Africa (1505) • Portugal captures Goa, India (1510) • Portuguese missionaries arrive in China (1514)
1525	• Henry VIII becomes head of new Anglican church (1534) • First stock exchange in Antwerp (1538) • Calvin establishes Presbyterian theocracy in Geneva (1541)	• Pizarro captures Inca emperor Atahualpa (1532) • Potosí silver mine discovered (1545)	• Mughals invade India (1526) • St. Francis Xavier arrives in Japan (1549)
1550	• Council of Trent (1545–63) • End of Hundred Years War (1558) • Tobacco first introduced into Europe (1559); potato (c. 1565)	• Portuguese begin sugar cultivation in Brazil (c. 1560)	• Akbar consolidates Mughal Empire (1556–1605) • Spanish capture Manila, Philippines (1571) • Portuguese establish colony in Angola (1571)
1575	• Spanish Armada defeated by England (1588) • Henry IV of France issues Edict of Nantes (1598)		• Matteo Ricci arrives in China (1582) • Japan invades Korea (1592)
1600	• Dutch, English, and French East India Companies founded • The Netherlands win independence from Spain; Bank of Amsterdam established (1609)		• Tokugawa shoguns begin consolidation of Japan (1603) • Christianity outlawed in Japan (1606) • Dutch found Batavia (Jakarta), Indonesia (1619)
1625	• Portugal declares independence from Spain (1640) • Russia captures Siberia (1649)		• Manchus conquer China and form Qing dynasty (1644)
1650	• English Navigation Act (1651) • Louis XIV of France, the "Sun King" (1643–1715)		• Dutch capture Cape of Good Hope (1652)
1675	• War of the League of Augsburg (1688–97) • Bank of England created (1694)		• Qing dynasty establishes "Canton system" (1683)
1700	• Peter the Great founds St. Petersburg (1704) • War of the Spanish Succession (1702–13) • Act of Union creates Great Britain (1707)		• Edo, Japan, has one million people
1725	• War of Austrian Succession (1740–8)		
1750	• Seven Years War (1756–63) • Adam Smith, *The Wealth of Nations* (1776)	• War of American Independence (1775–81)	• After English victory at Plassey, English gain Bengal (1757)

Emperor Atahualpa arrested by Francisco Pizarro in 1532. When Pizarro landed on the northern coast of Peru on May 13, 1532 he brought with him a force of 200 men with horses, guns, and swords. The Inca emperor Atahualpa, backed up by thousands of troops, felt he had little to fear from the Spanish and, as this contemporary Peruvian drawing shows, he accepted Pizarro's seemingly friendly invitation to meet accompanied only by his bodyguards. It was a trap, and Pizarro arrested and later executed him. (Compare this picture to the picture on p. I-15 of Cortés and the Aztecs in Mexico.)

Because the Aztecs under Moctezuma II dominated and plundered the various tribes living in the surrounding region, Cortés was joined by thousands of Native Americans who wished to overthrow the powerful Aztec empire at Tenochtitlán, modern-day Mexico City. Cortés' small force entered the city without a struggle, possibly helped by a woman, Malinche or Marina, who became his mistress and translator. The peace didn't last, however, and after the Spaniards massacred several Aztec leaders during a festival, the population revolted. They killed Moctezuma, believing that he had collaborated with Cortés, and they forced the *conquistadores* out of the city. Cortés suffered heavy losses, perhaps as many as two-thirds of his men and several horses, but the Spaniards reached Tlaxcala, where their new Native American allies nursed them back to health and helped them retake Tenochtitlán. The Spaniards conquered the capital city again in 1521 after a bitter four-month siege, and the empire fell to them. In the next 20 years they captured the Yucatán and most of Central America, although revolts continued in the region. Cortés became ruler of the Kingdom of New Spain, reorganized in 1535 as the Vice-Royalty of New Spain.

In South America, Vasco Nuñez de Balboa found a portage across the Isthmus of Panama in 1513. Now the Spanish could transport their ships from the Atlantic coast overland across the Isthmus and sail south along the Pacific Coast to Peru. Rumors of great stores of gold encouraged these voyages to the Inca Empire. Like the Aztecs, the Inca were divided. In 1525, after the death of Huayna Capec, possibly from smallpox, a civil war broke out between two of his sons—Huáscar and Atahualpa—over who should rule the empire. Fighting was fierce and ended only in 1532, when Atahualpa captured Huáscar and executed him. In the same year, Francisco Pizarro, leading a force of some 200 men, captured Atahualpa. Although given a room full of gold as ransom for the emperor's life, Pizarro feared a revolt and killed him. In 1533 he captured the Inca capital, Cuzco. The Spanish *conquistadores* fought among themselves for years until Spain established the Vice-Royalty of Peru in the mid-sixteenth century as the South American counterpart to the Vice-Royalty of New Spain in the north. Revolts against the Spaniards continued until they captured and beheaded the last Inca emperor, Tupac Amarú, in 1572.

Why the Inca and Aztec Empires Fell. How had a few hundred Spanish soldiers and their Native American allies succeeded in overthrowing the two largest empires in the Americas? The answer has four parts. First, as we have seen, the conquered Native Americans were not a single united people, but many different, competitive, and even warring peoples. In conquering the dominant groups—Moctezuma's Aztecs in Mexico and Atahualpa's Inca in Peru—the Spanish found many allies among the enemies of these groups. In addition, the Inca were weakened by their own civil war. Second, unlike the Native Americans, the Spanish possessed firearms, steel armor and weapons, and horses—animals never before seen in the Americas. The Spaniards also fought differently from the indigenous populations, shooting their guns from a distance rather than engaging in the hand-to-hand warfare practiced by the Aztecs. Third, the Aztecs and Inca were demoralized when their commanders-in-chief were captured. The two Indian empires were highly centralized, and the removal of their leaders left them disorganized. (Less centralized and more remote groups, like the Araucanians of central Chile, held out far longer,

KEY TERMS

encomienda A concession from the Spanish crown to a colonist, giving the colonist permission to exact tribute from a specified number of Native Americans living in a specific area. Conditions were cruel and the Spanish attempted to convert the Indians to Christianity.

repartimiento A system by which the Spanish crown allowed colonists to employ Indians for forced labor. Conditions were virtual slavery.

mit'a A system of forced labor in Peru, begun under Inca rule, by which indigenous communities were required to contribute a set number of laborers for public works for a given period. Conditions were virtual slavery.

hacienda A large rural estate in Spanish America, originating with Spanish colonization in the sixteenth century.

winning a revered place in Latin American history and poetry.) And, finally, Native Americans had no immunity to European diseases, such as smallpox, that were new to the Americas. The diseases proved far more deadly than the warfare.

Legend once had it that the Indians viewed the invading Spanish as gods. In this telling, the Spanish gods were returning to their homelands and were therefore deserving of obedience, rather than resistance. Recent scholarship has dispelled this as a fiction created by the Spanish.

Making the Conquests Pay. After the conquests, the Spanish began to reorganize the economies of the Americas. They established the ***encomienda*** system, assigning the taxes and the labor of local Indian populations to Spanish colonists who were also to convert them to Christianity, if possible. The Native Americans were enslaved under conditions of great cruelty. The *encomienda* system was first established on the island of Hispaniola, where in 20 years the native population fell from several million to 29,000. Humane voices, especially of priests such as Bartolomé de Las Casas, opposed the *encomienda* system, but it continued until so many Indians had died that it could no longer function. In most of Mexico and Peru the system had ended by the late 1500s, but it operated for another century in Venezuela; for another two centuries, until 1791, in Chile; and until the early 1800s in Paraguay.

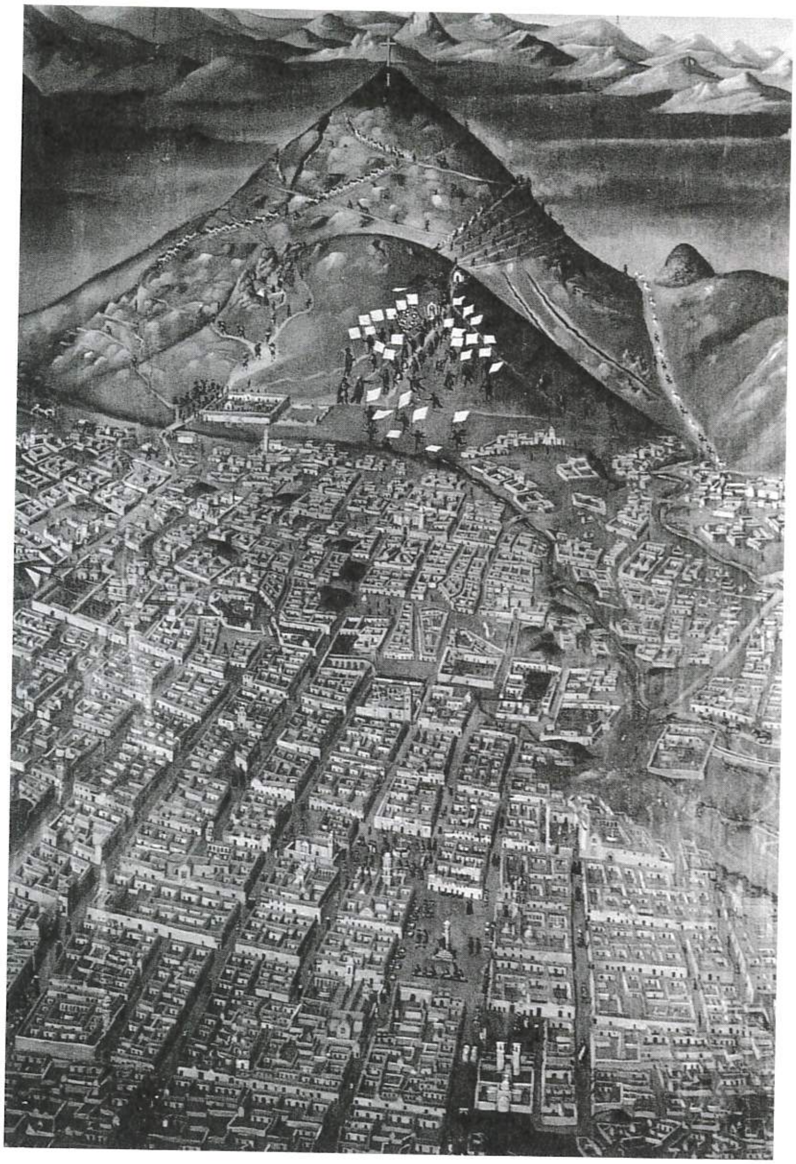
The systems that replaced it were not much more humane. The ***repartimiento*** system in central Mexico and the similar ***mit'a*** system in Peru forced the local population into low-paid or unpaid labor for a portion of each year on Spanish-owned farms, in mines and workshops, and on public works projects. These systems, too, were forms of unofficial slavery. Not all labor was coerced, however. Spanish-owned plantations or ***haciendas***, agricultural estates producing commercial crops and livestock, employed both free and indentured labor. The *haciendas* often produced commercially the newly imported products of the eastern hemisphere—wheat, cattle, pigs, sheep, chickens, horses, and mules—in addition to the indigenous local crops of maize, potatoes, and manioc (cassava).

Inca–Spanish wooden drinking vessel, Peru, c. 1650. This painted Inca ritual drinking vessel made of wood, known as a *kero*, represents people of three different cultures: to the left, an Inca dignitary; in the center, a Spaniard playing a trumpet; and on the right, one of the earliest depictions of a black African in South America, a man playing a drum.

Perhaps the worst conditions existed in silver mines, which also used paid labor at very low wages. The immense Potosí mine in Upper Peru (today's Bolivia) employed 40,000 Native American miners in the seventeenth century. Tunnels destroyed the landscape, and working conditions were inhuman. Children were put to work, forced to crawl through cracks into the mines and to labor without breaks.

From the Spanish perspective, the most valuable products of the Americas throughout the sixteenth century were gold and silver. The mine at Potosí, discovered in 1545, was the largest silver mine in the world. Smaller mines were opened in Mexico in 1545 and 1558. In 1556 a new method of separating silver from ore by using mercury, available from Almadén in Spain, was discovered. (The toxic qualities of mercury were not known at the time.) Between 1550 and 1800 Mexico and South America produced more than 80 percent of the world's silver and more than 70 percent of its gold.

The precious metals were exported each year from Latin America eastward to Europe and westward to the Philippines, where the Spanish had captured Manila in 1571 and established it as their chief trade center for East Asia. They were ultimately used to pay for purchases of silks, tea, textiles, and spices from India and China. Between one-third and one-half of all American silver produced between 1527 and 1821 found its way to China. The Mexican peso became a legal currency in China. Asian traders demanded payment in gold and especially silver because Europe itself produced very little of interest to them.



Plan of Potosí and the Cerro Rico (Rich Hill), Upper Peru. This seventeenth-century painting shows Potosí and the hills in which the lucrative silver mines were located. The mines at Potosí employed some 40,000 poorly paid Indian laborers and tens of thousands of horses—shown in this painting ascending and descending the hills—to transport the material and drive the machinery.

Merchant Profits. The gold and silver mines of the Americas, which brought enslavement and poverty to the Native Americans, benefited the Spaniards themselves less than they did the merchants of Antwerp, Genoa, Amsterdam, London, and Paris. The Spanish did not have the commercial infrastructure to employ their newly captured resources in profitable investments, and they lacked the ships to carry the trade generated by the new finds of gold and silver. The experienced merchants of the trade cities of Europe organized the necessary commercial services. They exchanged the raw metals for cash and bills of exchange, provided loans to tide over the period from the arrival of one shipment of silver to the next, arranged the purchase of goods needed by the Spanish, and supplied the necessary shipping. In the sixteenth century, the most important of these commercial centers was Antwerp (Belgium), with its skilled and wealthy merchants from Antwerp and from England, France, Portugal, Italy, Spain, and Germany.

Warfare and Bankruptcy. Many regions of Europe at this time were "owned" by particular families, who had the responsibility to protect them and the rights to tax them and bequeath them to others. These families often intermarried, in which case sometimes whole countries changed rulers. Spain's Charles V (r. 1515–56) inherited Spain and the Spanish colonies in Africa, the Americas, Naples, and Sicily from his mother's parents, Ferdinand and Isabella. From his father's family, the House of Burgundy, he inherited the Netherlands and the German lands owned by the Habsburg family. Charles became the most powerful ruler in Europe.

Raised in Flanders, Charles V spoke no Spanish, and his pride and foreignness alienated the Spanish. He appointed foreign courtiers from Flanders to offices in Spain, and he used Spanish wealth to fund his political programs in central European territories. Spaniards revolted. The nobles wanted to stop the drain of money to central Europe and the assignment of offices to foreigners. They wanted Charles to return to Spain. As civil order broke down, artisans and business classes in Castile revolted against the great landholders in the Communero revolt of 1520–21. The revolutionaries held conflicting goals, however, and as they fought one another to exhaustion Charles easily retained his hold on government.

But when Charles entered into wars against the Ottoman Turkish Empire in eastern Europe and on the Mediterranean, and into Christian religious wars in northern and central Europe (see next section), he bankrupted even the silver-rich treasury of Spain. After Charles' abdication in 1556, his son Philip II (r. 1556–98) continued the politics of warfare and suffered much the same fate. Even Philip's military victories were financial defeats.

Portugal's Empire

Isabella and Ferdinand united their thrones, creating modern Spain, in 1492, but the western third of the Iberian peninsula, Portugal, remained a separate state. (For 60 years, from 1580 to 1640, it was incorporated into Spain, but otherwise it has remained separate until today.) In terms of worldwide exploration and trade, Portugal, under the leadership of Prince Henry the Navigator, who sponsored many voyages along the coast of Africa, had entered the field earlier and more vigorously than Spain (see Chapter Thirteen).

The Portuguese in Africa. Portugal sought souls for Christianity, gold for its national treasury, grain and fish for its domestic food supply, and slaves for its new sugar plantations. Portuguese entrepreneurs, having seen sugar plantations in the eastern Mediterranean, planted their own on Madeira and other islands in the Atlantic Ocean off the coast of Africa. (Spanish landlords and businessmen did the same in the Canary Islands.) These new plantations needed laborers. Portugal went to Africa to obtain them.

As the Portuguese explored Africa they also built fortresses—such as El Mina in modern Ghana—as assembly and shipping points for their purchases of slaves and gold. For the most part, the Portuguese remained in their coastal enclaves of fortresses, trading posts, and Christian missionary outposts. At some points, however, the Portuguese did venture inland to explore, trade, evangelize, and attempt to conquer. From El Mina, on the Gold Coast, for example, they went inland to trade directly with Mane and Soninke merchants. In the Kingdom of Kongo, they converted King Nzinga Mbembe (1507–43) and many of his people to Christianity, although the Portuguese slave trade in the Kongo ultimately alienated the people from their king. King Mbembe wrote to the king of Portugal that the slave trade was destroying the Kingdom of Kongo as its people turned predatory toward one another. He wanted

The fortress of São Jorge da Mina (later called El Mina), African Gold Coast, 1482. Built at the order of King John II of Portugal in 1482, this fortress—like many others—provided a fortified trading post designed both to protect Portuguese trade from rival Europeans and to serve as a supply base. At the beginning of the sixteenth century trade was in gold and kola nuts with imports of American crops such as maize and cassava, and trans-shipment of slaves. It was not until the late seventeenth century that the export of slaves became the main trade on the Gold Coast. The European traders remained mostly in such fortresses along the coast, and relied on African traders to bring goods from the interior to them.

the trade stopped, on humanitarian grounds. His plea was ignored. The Portuguese, and the Kongolese themselves, desired the profits of the trade.

In Angola, on the west coast, the Portuguese went directly inland to bring slaves to the coast, and claimed the region as their colony in 1484. By 1500, Lisbon was receiving some 1,500 pounds of gold and 10,000 slaves each year from West Africa. On the east coast of Africa, the Portuguese sacked the Swahili trading city of Kilwa to gain control of the Indian Ocean trade, and claimed Mozambique for its rich gold supplies. Although the Portuguese mostly stayed in coastal enclaves like Sofala, and established an outpost on Mozambique Island, they also traveled inland along the Zambezi River.

The Portuguese in Brazil. In 1500, a Portuguese expedition headed for India was blown off course in the Atlantic and landed in Brazil. The Portuguese claimed the land but did little to develop it until pressed by competition from other European powers. By the mid-sixteenth century they had established some coastal towns, including a colonial capital at Salvador, introduced Jesuit missionaries, and planted the first of the plantations that would make Brazil the first of the huge plantation colonies in the Americas. By 1700 Brazil had 150,000 slaves—half its total population—working its sugar plantations.

By this time, other nations, such as Spain, had developed sugar plantations in the Caribbean, contesting Brazil's leadership and undercutting prices and profits. In 1695, however, gold and diamonds were discovered in the interior mountains of Brazil (in the state later named Minas Gerais, General Mines), and by the mid-eighteenth century Brazil was mining some 3,000 tons of gold each year, mostly through slave labor. Unfortunately, as often happens with windfall profits from the discovery of raw materials, Portugal and Brazil spent the profits on goods from other countries, especially Britain, without developing new economic enterprises of their own. When the gold began to run out in the mid-eighteenth century, Brazil and Portugal found themselves in debt to Britain, and hooked on British imports, but without further means of paying.

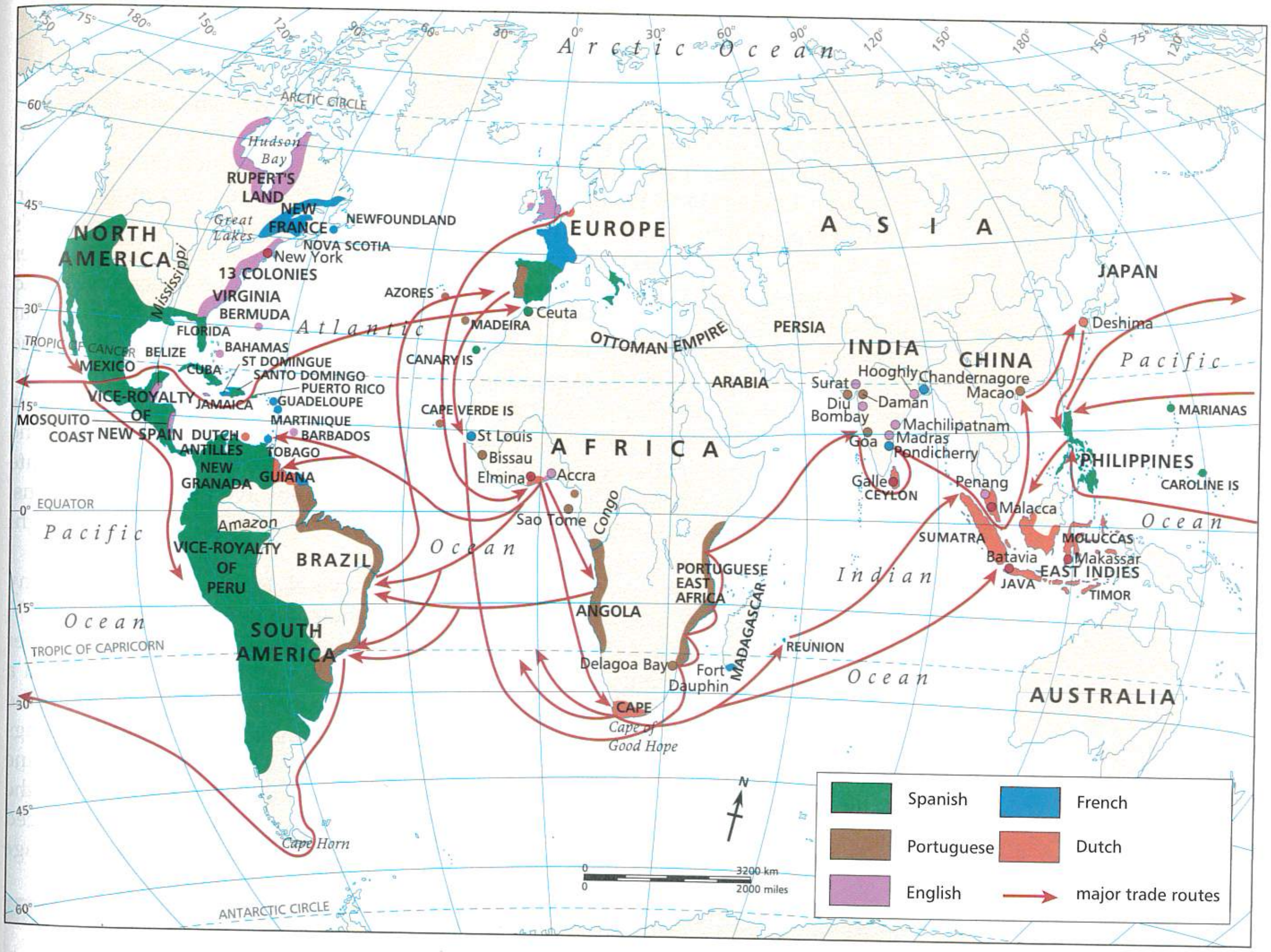
The Portuguese in the Indian Ocean. Throughout the sixteenth century, even taking into account the emerging sugar profits from Brazil, Portugal's main overseas interests lay in Asia. In 1498 Vasco da Gama had extended Portugal's voyages of exploration eastward. Departing from the east coast of Africa, with the assistance of a local pilot who knew the route, he sailed into one of the world's liveliest arenas of trade, the Indian Ocean and the west coast of India. Almost immediately the Portuguese introduced armed violence into trade relations that had been peaceful. In 1500 an armed Portuguese expedition sailed under Pedro Alvarez Cabral (*c.* 1468–1520) under instructions from the government to establish a fort and trading post at Cochin, India, to promote relations with other "Christian kingdoms" in India, and to impede Muslim shipping to the Red Sea. Cabral had numerous armed engagements with ships in the Indian Ocean and in ports on India's southwest coast. In fighting at Calicut, 54 of Cabral's men were killed and substantial goods were lost. In response, Cabral bombarded Cochin, killing between 400 and 500 people and destroying considerable goods and property.

When da Gama returned on his second voyage in 1502 he came with 21 armed ships to assert Portuguese power. At the height of their Indian Ocean power, Portugal held some 50 ports, with Goa serving as their Indian Ocean capital. To the extent that they could enforce it, the Portuguese forced ocean traders to pay them a tax of passage—previously unheard of—and demanded that they put into port at Portuguese centers, especially Goa. The Portuguese were making money as much from their own kind of piracy as from trade. Their reputation for violence spread.

By 1600, however, it became clear that the Portuguese could not maintain their coercive system. Many of their own merchants operated as private traders despite the official state monopoly; Portuguese officers were often corrupt; their military was not well disciplined; and they lacked the manpower to actually enforce the controls that they asserted over Indian Ocean traders. Most of all, the much larger ocean-going nations of England and France, and the Netherlands as well, entered the Indian Ocean waters in substantial force, and tiny Portugal was no match for them. Portugal remained in the east, but only as a minor power.

The Spanish and the Portuguese Empires: An Evaluation

Those who claim that Europe's wealth was built on the exploitation of people overseas certainly have some justification, but the experiences of Spain and Portugal demonstrate that exploitation alone was not enough. To build and sustain wealth, countries must be able to use wealth effectively. They must conceive and implement policies of economic growth. They require banks and instruments of exchange to store and transmit money. They need commercial intelligence to create and evaluate strategies for investing capital sensibly and profitably. They must develop efficient means of transporting goods and people. They must not allow their commercial aims to be excessively deflected by warfare. Both Spain and Portugal lacked these facilities. Furthermore, both were hierarchical societies where prestige belonged to those in the aristocracy. It was common in both Spain and Portugal to use mercantile wealth to buy into the nobility and purchase land, and then cease to engage in trade and commerce. Thus, both countries built enormous global empires based on their ocean explorations, but by the end of the sixteenth century both these empires were on the wane, first challenged and then surpassed by countries that established successful commercial communities.



Culturally, Spain and Portugal were far more successful. The influence of their languages and cultures remains dominant in Latin America today, and they continue to have an effect on areas as far-flung as the Philippines (for Spain) and Angola, Mozambique, Goa, and tiny Macao (for Portugal). But as economic and political powers, Spain and Portugal, despite their early, extraordinary successes, were soon eclipsed by the commercially astute nations of northwestern Europe.

The first European trading empires, about 1750. European sea-borne intercontinental trade was dominated by Spain and Portugal in the sixteenth century. The Spanish rapidly colonized Central America, the Andes Mountain regions, and the Philippines. The Portuguese concentrated on the coasts of Brazil, East and West Africa, and the Arabian Sea ports of India. A century later the Dutch, English, and French followed, establishing settler colonies in North America and South Africa and fortified trading posts along the coasts elsewhere. Compare with the maps on pp. 608 and 609, noting the expansion of European empires.